Understanding credit scores

A credit score is a number, usually between 300 and 850, that estimates how likely you are to repay borrowed money. Lenders use it to decide whether to approve you and what interest rate to offer.

The biggest factors are paying bills on time and keeping your credit card balances low compared with your limits. The length of your credit history, the mix of account types, and recent applications matter less.

You can check your reports for free once a year from each of the three credit bureaus. Dispute any account that is not yours, because errors are common and can lower your score.